

Calendar Line 2

Case Name: Borton Petrini, LLP v. Joseph Commendatore

Case No.: 23CV413103

Defendant Joseph Commendatore's motion to set aside default judgment. Notice is proper and the motion is opposed by plaintiff Borton Petrini, LLP.

BACKGROUND

Plaintiff law firm sued defendant in March 2023 for unpaid invoices related to plaintiff's representation of defendant in another court case. The proof of service of summons by substituted service filed in October 2023 indicates service that same month on a "co-resident" at "1271 Carmel Ter, Los Altos, CA 94024." (Some capitalization omitted.) The registered process server's declaration of diligence indicates that on an earlier attempt at service, the process server "spoke with an individual who identified themselves as the resident and they stated subject resides but not available at this time." Default judgment was entered in January 2025 after a default prove-up hearing. A notice of entry of judgment was sent by U.S. mail to 2040 Marich Way, Mountain View, CA, 94040.

A proof of personal service was filed on September 22, 2025. The proof of service by a registered process server indicates defendant was personally served on September 19, 2025, at 2040 Marich Way, Mountain View, CA, 94040. It indicates defendant was served the following documents: Application and Order for Appearance and Examination; Notice of Financial Statement – Consumer Debt; Information on Debtor's Examinations Regarding Consumer Debt; Exemptions from the Enforcement of Judgments; Financial Statement (Consumer Debt); and Notice of Entry of Judgment.

Defendant applied ex parte while self-represented in October 2025 for an order staying enforcement and order of examination pending mandatory fee arbitration. The application was denied.

Defendant (through counsel) filed the instant motion on May 19, 2026. A proposed answer is lodged in support. There is also a declaration by defendant. Defendant declares he was never personally served with the summons and complaint in this action. (Defendant dec., ¶ 7.) He declares he did not reside at 2040 Marich Way "during the relevant period." (*Id.*, ¶ 8.) The declaration does not explain what is meant by the "relevant period." He also never provides a clear timeline of his residential addresses. He declares he did not receive any legal papers for this lawsuit at the Marich Way address. (*Ibid.*) He declares he "received papers concerning an order for examination" in October 2025. He does not specify the manner of service of those papers. (Defendant dec., ¶ 15.) Defendant declares that he told plaintiff's counsel in May 2026 that the Carmel Terrace address was his "parents' address, not [his] residence, and that [he] never personally received those documents and was never told those documents had allegedly been served." (*Id.*, ¶ 22.)

DISCUSSION

Defendant argues the judgment must be set aside under Code of Civil Procedure section 473, subdivision (d); Code of Civil Procedure section 473.5; and under the court's equitable discretion. (Unspecified statutory references are to this Code.)

The Judgment is Not Void (§ 473, subd. (d))

A party may move to set aside a void judgment under Code of Civil Procedure section 473, subdivision (d). A default judgment entered against a defendant who was not served in the manner prescribed by statute is void. (*First American Title Ins. Co. v. Banerjee* (2022) 87 Cal.App.5th 37, 42; *California Capital Ins. Co. v. Hoehn* (2024) 17 Cal.5th 207, 214.) A registered process server's return "establishes a presumption, affecting the burden of producing evidence, of the facts stated in the return." (Evid. Code, § 647.)

The proof of substituted service indicates defendant was served by substituted service at "1271 Carmel Ter, Los Altos, CA 94024." (Some capitalization omitted.) The registered process server's declaration of diligence indicates that on an earlier attempt at service, the process server "spoke with an individual who identified themselves as the resident and they stated subject resides but not available at this time." Defendant acknowledges that his parents reside at that address. (Defendant dec., ¶ 22.) Based on the foregoing, the court finds service was proper and that the default judgment is not void.

Defendant argues, based on his self-serving declaration, that service was not proper because he did not reside at the Carmel Terrace address. The court finds the registered process server's proof of service of summons and declaration of diligence more credible than defendant's declaration.

Defendant's Section 473.5 Motion is Untimely

A defendant may move to set aside a default judgment under Code of Civil Procedure section 437.5, subdivision (b). That subdivision requires the motion to be "accompanied by an affidavit showing under oath that the party's lack of actual notice in time to defend the action was not caused by the party's avoidance of service or inexcusable neglect." Defendant bears the burden to demonstrate entitlement to relief. (*Rios v. Singh* (2021) 65 Cal.App.5th 871, 885.) Importantly, the defendant must file the motion within "180 days after service on the party of a written notice that the default or default judgment has been entered." (Code Civ. Proc., § 473.5, subd. (a); Code Civ. Proc., § 1005, subd. (b) [five calendar days added for U.S. Mail service within California].) And the moving party "shall serve and file with the notice a copy of the answer, motion, or other pleading proposed to be filed in the action." (Code Civ. Proc., § 473.5, subd. (b).)

The September 2025 proof of personal service on defendant indicates defendant was served that month with a copy of the notice of entry of judgment, among other documents. Defendant's declaration does not dispute that proof of service. The instant motion, filed in May 2026, was filed more than 180 days after that service. The motion is untimely.

Defendant's participation in this case is also consistent with him having actual knowledge of the judgment by October 2025, at the latest. Defendant unsuccessfully moved ex parte in October 2025 to stay enforcement of the judgment. The instant motion was also filed more than 180 days after defendant's ex parte application.

Defendant is Not Entitled to Equitable Relief

Defendant asks the court to set aside the default judgment under the court's equitable power. (Citing *Rappleyea v. Campbell* (1994) 8 Cal.4th 975, 981.) *Rappleyea* involved a motion to set aside a default judgment based on extrinsic mistake, namely incorrect information received from the court clerk's office. (*Rappleyea v. Campbell* (1994) 8 Cal.4th 975, 981.) The defendants were not entitled to relief under section 473, subdivision (b), because they did not file it within the six-month limitation imposed by that subdivision. The court described trial courts' equitable authority to vacate a default even if statutory relief is unavailable. The court observed that when a "default *judgment* has been obtained, equitable relief may be given only in exceptional circumstances." (*Ibid.*) To set aside a judgment based upon extrinsic mistake, the moving party must satisfy three elements: (1) demonstrating that the defaulted party has a meritorious case; (2) a satisfactory excuse for not presenting a defense to the original action; and (3) reasonable diligence. (*Id.* at p. 982.)

Defendant does not identify an extrinsic mistake. And defendant did not act with reasonable diligence in filing the instant motion (for the reasons stated in the preceding section).

The motion is denied. The court will prepare the order.

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Calendar Line 6**Case Name:** Carlos Valle et al. v. FCA US LLC et al.**Case No.:** 25CV460300

This is an action under the Song-Beverly Consumer Warranty Act brought by plaintiffs Carlos and Teresa Valle (Plaintiffs) against FCA US LLC (FCA), Gilroy Chrysler Dodge Jeep Ram (dealership), and Doe defendants. The lawsuit is based on Plaintiffs' purchase of a 2018 Jeep Wrangler (subject vehicle) in February 2018. As part of the purchase, Plaintiffs entered into a warranty contract with FCA.

Plaintiffs' original complaint was filed in March 2025. The court previously sustained FCA's unopposed demurrer to the complaint's first, second, third, fourth and sixth causes of action with leave to amend. Plaintiff filed the operative first amended complaint (FAC) in December 2025. The FAC alleges six causes of action: (1) violation of Civil Code section 1793.2, subdivision (d); (2) violation of Civil Code section 1793.2, subdivision (b); (3) violation of Civil Code section 1793.2, subdivision (a)(3); (4) breach of the implied warranty of merchantability; (5) negligent repair (against the dealership only); and (6) fraudulent inducement—concealment. A copy of the warranty agreement is attached to the FAC as exhibit A.

At issue is a demurrer to the FAC by FCA, opposed by Plaintiffs.

LEGAL STANDARD FOR DEMURRERS

In ruling on a demurrer, the court accepts as true all properly pleaded material factual allegations but does not accept as true contentions, deductions or conclusions of fact or law. (*Valero v. Spread Your Wings, LLC* (2023) 88 Cal.App.5th 243, 253.) Code of Civil Procedure section 430.60 states that "[a] demurrer shall distinctly specify the grounds upon which any of the objections to the complaint, cross-complaint, or answer are taken. Unless it does so, it may be disregarded." The California Rules of Court also require that the demurrer itself (distinct from a supporting memorandum) specify the target of any objection and the grounds. (Cal. Rules of Court, rules 3.1103(c), 3.1112(a), 3.1320(a) ["Each ground of demurrer must be in a separate paragraph and must state whether it applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses."].)

The court cannot consider extrinsic evidence in ruling on demurrers. This includes declarations. The court has considered the declaration from defense counsel only to the extent it discusses the meet and confer efforts required by statute. Finally, "points raised in the reply brief for the first time will not be considered, unless good reason is shown for failure to present them before." (*Proctor v. Vishay Intertechnology, Inc.* (2013) 213 Cal.App.4th 1258, 1273 (*Proctor*).)

DISCUSSION**First and Second Causes of Action (Code Civ. Proc., § 870.21)**

FCA asserts that the FAC's first and second causes of action are time-barred by the statute of repose in Code of Civil Procedure sections 871.20 and 871.21.

Assembly Bill No. 1755 added chapter 12 to title 10 of part 2 of the Code of Civil Procedure. (Unspecified statutory references are to the Code of Civil Procedure.) The bill added sections 871.20 through 871.28. The bill was signed by the Governor in September 2024 and became effective on January 1, 2025. (Stats. 2024, ch. 938.) It initially applied to all actions seeking restitution, vehicle replacement, or civil penalties under Civil Code sections 1793.2, 1793.22, and 1794, regardless of the vehicle manufacturer. (Former section 871.20; Stats. 2024, ch. 938, § 1.)

Section 871.21 includes two statutes of repose. Section 871.21, subdivision (a) provides that an action governed by “Section 871.20 shall be commenced within one year after the expiration of the applicable express warranty.” Section 871.21 states, “Notwithstanding subdivision (a), an action covered by Section 871.20 shall not be brought later than six years after the date of original delivery of the motor vehicle.”

The Legislature amended chapter 12 with Senate Bill No. 26, urgency legislation which became effective upon the Governor’s signature on April 2, 2025. (Stats. 2025, ch. 1.) Senate Bill No. 26 amended sections 871.20 and 871.24. It also added sections 871.29 and 871.30. Senate Bill No. 26 amended chapter 12 in a fundamental way by making its provisions applicable only to vehicle manufacturers who opt in to its requirements. Section 871.20, subdivision (a), now provides that chapter 12 applies to actions “brought against a manufacturer who has elected under section 871.29 to proceed under this chapter.” Section 871.30, subdivision (a), provides: “Within 30 days of the effective date of the act adding this section, a manufacturer may elect to be governed by this chapter for all actions described in subdivision (a) of Section 871.20 with respect to all of its motor vehicles sold in the year 2025 and in all prior years by providing written notice of that election to the Arbitration Certification Program within the Department of Consumer Affairs.” That section continues that if a manufacturer fails to opt in, chapter 12 will not apply to actions against that manufacturer filed between January 2025 and April 2025. (§ 871.30, subd. (c).)

As an initial matter, it is not apparent from the FAC that FCA opted into chapter 12. The demurrer to these two causes of action on this ground can be overruled for that reason alone.

There is a general presumption against retroactive application of new statutes “in the absence of a clear indication of a contrary legislative intent, such as express language of retroactivity.” (*Quarry v. Doe I* (2012) 53 Cal.4th 945, 955.) But legislation that “shortens a limitations period is considered procedural and is applied retroactively to preexisting causes of action, so long as parties are given a reasonable time in which to sue.” (*Coachella Valley Mosquito & Vector Control Dist. v. California Public Employment Relations Bd.* (2005) 35 Cal.4th 1072, 1091-1092.) “When necessary to provide a reasonable time to sue, a shortened limitations period may be applied prospectively so that it commences on the effective date of the statute, rather than on the date the cause of action accrued.” (*Id.* at p. 1092.) If a “period has been legislatively shortened, constitutional and substantive issues will arise concerning retrospective application if: ‘[I]n a given case, that retrospective application may violate due process by in effect eliminating the plaintiff’s right. If the time left to file suit is reasonable, no such constitutional violation occurs, and the statute is applied as enacted. If no time is left, or only an unreasonably short time remains, then the statute cannot be applied at all.’ ” (*Sznyter v. Malone* (2007) 155 Cal.App.4th 1152, 1162.) Whether a party has a reasonable time after a change in law to file an action is a question of law. (*Ibid.*)

Section 871.21 does not bar Plaintiffs' action. If the court applied the statute of repose, Plaintiffs would have had to file suit by February 2024, which was months before Assembly Bill No. 1755 was signed. It is unreasonable to conclude that Plaintiffs were required to comply with a deadline that occurred approximately 10 months before the effective date of the law creating the deadline. Plaintiffs arguably could have timely filed suit in the few months between when the legislation was approved in September 2024 and when it took effect in January 2025. But the court concludes that period is not a reasonable time after the change in law, meaning the court will not apply the statute of repose in this case.

FCA's arguments in its supporting memorandum that the statute should be applied are unpersuasive. The memorandum also contains 18 pages of text, materially exceeding the 15-page limit set by California Rules of Court, rule 3.1113(d). (Cal. Rules of Court, rule 3.1113(d) ["Except in a summary judgment or summary adjudication motion, no opening or responding memorandum may exceed 15 pages."].) The court has exercised its discretion to consider the memorandum, but FCA's counsel is admonished to comply with all rules of court in the future.

FCA's demurrer to the first and second causes of action on the ground that they are barred by the statute of repose in Code of Civil Procedure sections 871.20 and 871.21 is overruled.

Third Cause of Action

FCA contends that the third cause of action fails to state sufficient facts.

Civil Code section 1793.2, subdivision (a)(3) states, in relevant part: "Every manufacturer of consumer goods sold in this state and for which the manufacturer has made an express warranty shall ... [m]ake available to authorized service and repair facilities sufficient service literature and replacement parts to effect repairs during the express warranty period."

FCA argues that the third cause of action fails to state sufficient facts because it is "utterly silent" as to the subject vehicle's repair history. (See memorandum at p. 6:15-18.) The third cause of action itself is alleged in a conclusory and boilerplate fashion. (FAC at ¶¶ 82-83.) But the general allegations in paragraphs 17 and 18 describe two occasions in 2022 when the subject vehicle was brought to "Defendant FCA's authorized repair facility" for repairs that could not be completed for lack of necessary parts. Those allegations are incorporated by reference into the third cause of action and are sufficient to allege a violation of Civil Code section 1793.2, subdivision (a)(3).

FCA forfeited its argument, made for the first time in the reply, that the statute of repose in Code of Civil Procedure sections 871.20 and 871.21 also applies to the third and fourth causes of action. (*Proctor, supra*, 213 Cal.App.4th at 1273.) FCA's demurrer to the third cause of action on the ground that it fails to state sufficient facts is overruled.

Fourth Cause of Action

FCA argues that the fourth cause of action is time-barred by an unidentified statute of limitations.

“A complaint showing on its face the cause of action is barred by the statute of limitations is subject to general demurrer.” (*Iverson, Yoakum, Papiano & Hatch v. Berwald* (1999) 76 Cal.App.4th 990, 995.) The running of the statute must appear clearly and affirmatively from the dates alleged—it is not enough that the complaint might be barred. (*Committee for Green Foothills v. Santa Clara County Board of Supervisors* (2010) 48 Cal.4th 32, 42.) “Generally, the limitations period starts running when the last element of a cause of action is complete.” (*NBCUniversal Media, LLC v. Super. Ct.* (2014) 225 Cal.App.4th 1222, 1231.)

While not labeled as a Song-Beverly claim, the fourth cause of action is expressly based on Civil Code sections 1791.1, 1794, and 1794.5. (See FAC at ¶¶ 66-70.)

“Under the implied merchantability warranty, ‘every sale of consumer goods that are sold at retail in this state shall be accompanied by the manufacturer’s and the retail seller’s implied warranty that the goods are merchantable.’” (*Brand v. Hyundai Motor America* (2014) 226 Cal.App.4th 1538, 1545, quoting Civ. Code, § 1792.) “The warranty “‘arises by operation of law’” and therefore applies despite its omission from a purchase contract.” (*Id.*) “Merchantability, as pertinent here, means that the goods ‘[p]ass without objection in the trade under the contract description,’ and are ‘fit for the ordinary purposes for which such goods are used.’” (*Ibid.*, quoting Civ. Code, § 1791.1, subd. (a).) To properly assert a breach of implied warranty claim, a plaintiff must allege a breach of warranty, occurring while the warranty is valid, and bring suit within the limitations period. (*Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1306 (*Mexia*).) The “implied warranty of merchantability may be breached by a latent defect undiscoverable at the time of sale.” (*Id.* at p. 1304.) Thus, if a product is sold with a latent defect, the implied warranty is breached “by the existence of the unseen defect, not by its subsequent discovery.” (*Id.* at p. 1305.) “Because an implied warranty is one that arises by operation of law rather than by an express agreement of the parties, courts have consistently held it is not a warranty that explicitly extends to future performance of the goods.” (*Cardinal Health 301, Inc. v. Tyco Electronics Corp.* (2008) 169 Cal.App.4th 116, 134, internal citations and quotation marks omitted.)

The applicable limitations period is four years under Commercial Code section 2725, subdivision (1). The claim accrues “when the breach occurs, regardless of the aggrieved party’s lack of knowledge of the breach.” (Com. Code, § 2725, subd. (2).) The duration provision in the Song-Beverly Act provides that the duration “ ‘shall be coextensive in duration with an express warranty which accompanies the consumer goods, ... [but] in no event shall such implied warranty have a duration of less than 60 days nor more than one year following the sale.’ ” (*Mexia, supra*, 174 Cal.App.4th at p. 1304, quoting Civ. Code, § 1791.1, subd. (c).)

The FAC alleges that Plaintiffs acquired the subject vehicle in February 2018. The original complaint was filed more than seven years later in March 2025. The fourth cause of action is time-barred on its face.

The equitable tolling and delayed discovery allegations in the FAC are so generic and conclusory that they are legal and factual conclusions that cannot be accepted as true on demurrer. (See FAC at ¶¶ 50-70; *Valero, supra*, 88 Cal.App.5th at p. 253.) When a plaintiff relies on a theory of fraudulent concealment, delayed accrual, equitable tolling, or estoppel to save a cause of action that otherwise appears on its face to be time-barred, he or she must

specifically plead facts which, if proved, would support the theory. (*Mills v. Forestex Co.* (2003) 108 Cal App 4th 625, 641 (*Mills*).) To properly allege delayed discovery, a plaintiff must specifically plead the time and manner of discovery and show the following: (1) the plaintiff had an excuse for late discovery; (2) the plaintiff was not at fault in discovering facts late; (3) the plaintiff did not have actual or presumptive knowledge to be put on inquiry; (4) the plaintiff was unable to make earlier discovery despite reasonable diligence. (*E-Fab, Inc. v. Accountants, Inc. Services* (2007) 153 Cal.App.4th 1308, 1319, 1324-1325.)

The opposition contends *Mexia* allows for delayed discovery of a breach of implied warranty claim. To the contrary, *Mexia* determined that latent defects that exist in the first year after tender of delivery, even if they do not manifest until after the first year, can be a basis for a breach of implied warranty claim, so long as the claim is filed within four years of the date of sale. (*Mexia, supra*, 174 Cal.App.4th at pp. 1306-1307.) *Mexia* did not articulate or purport to apply a delayed discovery rule because resort to such a rule was unnecessary in that case. The *Mexia* action was filed within four years of the date of purchase of the item (a boat) that contained the latent defect. By contrast, here Plaintiffs' original complaint was not filed within four years of their acquiring the subject vehicle, but instead filed more than seven years after acquiring the subject vehicle.

FCA forfeited its argument, raised for the first time in the reply, that the statute of repose bars the fourth cause of action. (*Proctor, supra*, 213 Cal.App.4th at 1273.) FCA's demurrer to the FAC's fourth cause of action on the ground that it is time-barred by Commercial Code section 2725, subdivision (1) is sustained.

A plaintiff bears the burden of demonstrating that an amendment would cure the defect identified on demurrer. (*Schifando v. City of Los Angeles* (2003) 31 Cal.4th 1074, 1081; *Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App.5th 1125, 1145 ["The onus is on the plaintiff to articulate the 'specifi[c] ways' to cure the identified defect, and absent such an articulation, a trial or appellate court may grant leave to amend 'only if a potentially effective amendment [is] both apparent and consistent with the plaintiff's theory of the case. [Citation.]'"].) The opposition fails to meet that burden. The opposition generically requests for leave to amend "if the Court believes that Plaintiffs have failed in adequately alleging these facts and demonstrating causes of action for relief against FCA." (Opposition at p. 14:26-28.) Plaintiffs were previously given leave to amend on this same issue and failed to cure the defects. Further leave to amend the fourth cause of action is denied.

Sixth Cause of Action

FCA contends the sixth cause of action fails to state sufficient facts and is time-barred by Code of Civil Procedure section 338.

Sufficient Facts

The elements of fraudulent concealment are: (1) the defendant concealed or suppressed a material fact; (2) the defendant was under a duty to disclose the fact to the plaintiff; (3) the defendant intentionally concealed or suppressed the fact with the intent to defraud the plaintiff; (4) the plaintiff was unaware of the fact and would not have acted as he or she did if the plaintiff had known of the concealed or suppressed fact; and (5) as a result of the concealment or suppression of the fact, the plaintiff sustained damage" (*Burch v. CertainTeed Corp.* (2019)

34 Cal.App.5th 341, 348 (*Burch*), citing *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 310-311 (*Bigler-Engler*).) With respect to concealment, there are four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. The latter three circumstances presuppose the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise. This relationship has been described as a transaction, such as that between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual arrangement. (*Id.* at pp. 349-350.)

FCA argues the sixth cause of action lacks particularity. Each element in a fraud cause of action must generally be pleaded with specificity. (*Cadlo v. Owens-Illinois, Inc.* (2004) 125 Cal.App.4th 513, 519.) In the case of fraud by concealment or omission, however, courts require less particularity because “[h]ow does one show ‘how’ and ‘by what means’ something didn’t happen, or ‘when’ it never happened, or ‘where’ it never happened?” (*Alfaro v. Community Housing Improvement System & Planning Ass’n, Inc.* (2009) 171 Cal.App.4th 1356, 1384 (*Alfaro*).) Less specificity is required when it appears from the nature of the allegations that the defendant necessarily possesses full information concerning the facts of the controversy. (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 217 (*Committee*), superseded by statute on other grounds as stated in *Californians for Disability Rights v. Mervyn’s, LLC* (2006) 39 Cal.4th 223, 227.)

The FAC alleges that FCA manufactures, distributes, markets, and sells motor vehicles in Santa Clara County, California. (FAC at ¶ 4.) It alleges that Plaintiffs entered into a contract with GM, the written warranty contract attached as an exhibit, in February 2018. (*Id.* at ¶ 7.) It also alleges that GM knew of the alleged engine defect and did not disclose it to consumers like Plaintiffs. (*Id.* at ¶¶ 35-39, 96-99.) At least one appellate court has found similar allegations sufficient to support a cause of action for fraudulent concealment. (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843-844.) Although the Supreme Court initially granted review in *Dhital*, it subsequently dismissed review after deciding *Rattagan*, which means *Dhital* is precedential authority. (Cal Rules of Court, rule 8.1115(e)(2)).) The court finds *Dhital* persuasive.

FCA risked forfeiting their other arguments about fraudulent concealment (about the economic loss rule and the duty to disclose), which are mentioned in a footnote in the moving memorandum and discussed in more detail in the reply. They are also without merit. The “economic loss rule does not apply to limit recovery for intentional tort claims like fraud.” (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 38.) More specifically, the economic loss rule does not apply to fraudulent inducement of a contract. (*Erlich v. Menezes* (1999) 21 Cal.4th 543, 552 (*Erlich*); *Robinson Helicopter Co. v. Dana Corp.* (2004) 34 Cal.4th 979, 989-990 (*Robinson*); *County of Santa Clara v. Atlantic Richfield Co.* (2006) 137 Cal.App.4th 292, 328-329 [“The analysis [in *Robinson*] suggested that fraud *itself* is immune from application of the economic loss rule because fraud is particularly blameworthy and therefore unlike both contract causes of action and products liability causes of action.”], internal citation omitted.)

Rattagan concerned fraud alleged to have occurred during a contractual relationship, not fraud in the inducement of a purchase. (See *Rattagan*, *supra*, 17 Cal.5th at p. 41, fn. 12 [“*Rattagan*’s tort claims are, of course, based on alleged conduct committed during the contractual relationship but purportedly outside the parties’ chosen rights and obligations.”].) The *Rattagan* court made clear it was not addressing fraudulent inducement of contract. Where a fraudulent inducement of a contract is alleged, the fraud occurs prior to the formation of the contract and is separate from the contract.

Regarding a duty to disclose, the FAC alleges a direct contractual relationship between FCA and Plaintiffs via the warranty agreement. “[A]ny kind of contractual relationship” is sufficient to impose a duty to disclose. (*Burch*, *supra*, 34 Cal.App.5th at p. 350.) Even if the warranty contract was not enough to give rise to a duty to disclose, in California a “vendor has a duty to disclose material facts not only to immediate purchasers, but also to subsequent purchasers when the vendor has reason to expect that the item will be resold.” (*OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 859.) As a vehicle manufacturer and distributor, FCA has reason to expect that its vehicles are likely to be sold by dealerships to consumers. The duty to disclose as a vendor is therefore triggered.

Statute of Limitations

The statute of limitations applicable to the fifth cause of action for fraudulent inducement through concealment is the three-year statute set forth in Code of Civil Procedure section 338, subdivision (d). Under that statute, a claim for fraud accrues, thereby triggering the three-year limitations period, on the date of “discovery, by the aggrieved party, of the facts constituting the fraud.” (Code Civ. Proc., § 338, subd. (d); *Britton v. Girardi* (2015) 235 Cal.App.4th 721, 734.) “‘Although the statute does not expressly provide that the claim will accrue based upon either actual or inquiry notice of the claimant, California courts have long construed it in such a fashion.’ As our Supreme Court has long held, under Code of Civil Procedure section 338, subdivision (d), a ‘plaintiff must affirmatively excuse his [or her] failure to discover the fraud [or mistake] within three years after it took place, by establishing facts showing that he [or she] was not negligent in failing to make the discovery sooner and that he [or she] had no actual or presumptive knowledge of facts sufficient to put him [or her] on inquiry.’” (*Krolkowski v. San Diego City Employees’ Retirement System* (2018) 24 Cal.App.5th 537, 561-562, internal citations omitted.)

The facts constituting the fraud here are the sale of the subject vehicle to Plaintiffs in February 2018 without disclosure of an engine defect allegedly known to FCA. (See FAC at ¶¶ 95-103.) The original complaint was filed more than seven years later. The FAC’s conclusory allegations of tolling, including assertions that Plaintiffs discovered the alleged fraud “shortly before” filing the original complaint, do not satisfy the standard for pleading tolling or delayed discovery and do not affirmatively excuse the failure to discover the alleged fraud within three years of purchasing the subject vehicle. (See FAC at ¶¶ 50-70.)

The opposition fails to meet Plaintiffs’ burden to show how this defect could be cured through amendment. Because Plaintiffs were previously granted leave to amend to address this issue and failed to do so, further leave to amend the sixth cause of action is denied.

Punitive Damages

FCA contends that the “Punitive Damages Claim must be stricken.” (See notice of demurrer and demurrer at 2:6-26.) But FCA did not file a motion to strike, and the request is not a basis for demurrer.

CONCLUSION

FCA’s demurrer to the FAC’s first and second causes of action on the ground that they are barred by the statute of repose in Code of Civil Procedure sections 871.20 and 871.21 is overruled.

FCA’s demurrer to the third cause of action the ground that it fails to state sufficient facts is overruled.

FCA’s demurrer to the fourth cause of action on the ground that it is time-barred by the four-year statute of limitations in Commercial Code section 2725, subdivision (1) is sustained without further leave to amend.

FCA’s demurrer to the sixth cause of action on the ground that it fails to state sufficient facts is overruled. FCA’s demurrer to the sixth cause of action on the ground that it is time-barred by the three-year statute of limitations in Code of Civil Procedure section 338, subdivision (d) is sustained without further leave to amend.

The court will prepare the order.

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Calendar Line 8**Case Name:** David Doe v. Gilroy Unified School District**Case No.:** 25CV483558

Plaintiff's petition for relief from government claim presentation. Notice is proper and the motion is unopposed.

"Government Code section 905 requires that 'all claims for money or damages against local public entities' be presented to the responsible public entity before a lawsuit is filed." (*City of Stockton v. Superior Court* (2007) 42 Cal.4th 730, 734; see also Gov. Code, § 945.4; unspecified statutory references are to the Government Code.) A personal injury claim must be presented to the responsible public entity "not later than six months after the accrual of the cause of action." (§ 911.2, subd. (a).)

A plaintiff may petition the trial court for relief from the claim presentation requirement. The petition must show: (1) an application to file a late government claim was submitted to the government entity plaintiff wishes to sue (§ 911.4); (2) the reason for plaintiff's failure to timely present the government claim; and (3) the information required by section 910 (describing required contents of a government claim). The section 946.6 petition must be filed within six months after the section 911.4 application is denied or deemed denied. The court "shall relieve the petitioner" from the claim presentation requirement if the application to the government entity was timely (i.e., no more than one year after the claim accrued) and, among other things, the "the person who sustained the alleged injury, damage, or loss was a minor during all of the time specified in Section 911.2 for the presentation of the claim." (§ 946.6, subd. (c)(2).)

Plaintiff's petition asserts that he was stabbed by another student at a high school within defendant Gilroy Unified School District on May 22, 2024. Plaintiff did not retain counsel until May 2025, at which time an application for leave to file a late claim was submitted to defendant (on May 16, 2025). Defendant denied the application because "it was not submitted within six months after the event." (Exh. C to Isla dec.) Plaintiff was a minor during the claim presentation window (he was born in March 2008).

The petition is granted. Plaintiff must file "suit on the cause of action to which the claim relates...within 30 days." (§ 946.6, subd. (f).) The court will prepare the order.

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